

4.3 Unit content

4.3.1 What are the causes and effects of globalisation?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Causes of globalisation	Identify factors contributing to globalisation.	For example: trade liberalisation; reduced cost of communications; increased significance of transnational companies.
Effects of globalisation	Identify the benefits and costs of globalisation.	Students should consider the issue of sustainability and environmental degradation as part of the costs of trading.

4.3.2 Why trade?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Patterns of trade	Identify patterns of trade between developed and developing countries.	Students should be aware of changes in trade flows between countries and the reasons for them, for example the potential impact of China and India on world trade patterns and the possible reaction of developed economies.
Specialisation and comparative advantage	Understand the benefits and costs of specialisation and trade; the law of comparative advantage.	Students should understand the distinction between absolute and comparative advantage. The significance of opportunity cost should be emphasised. Comparative advantage may be illustrated numerically and diagrammatically.
WTO	Understand the role of the World Trade Organization (WTO) in trade liberalisation; trading blocs.	The distinction between different types of trading blocs should be understood. Possible conflicts between trading blocs and the WTO should be considered.
Restrictions on free trade	Identify potential restrictions on free trade: reasons and types for example, tariffs, quotas, non-tariff barriers, subsidies to domestic producers.	Diagrammatic representation of tariffs is required (to include welfare changes and government revenue).
Protectionism	Identify potential effects of protectionist policies on resource allocation.	Students should examine cases of protectionism currently in the news.

4.3.3 How is international trade recorded and financed?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Balance of Payments	Understand the different components of the Balance of Payments.	For example: the trade in goods and services current account as well as the accounts showing short- and long-term capital flows.
Current account deficits and surpluses	Understand the factors influencing the size of deficits and surpluses on different components of the Balance of Payments; significance of deficits and surpluses on the current account.	Students should consider whether such current account surpluses and deficits matter and examine measures to reduce such imbalances. The significance of global imbalances should be examined.
Influences on exchange rates	Understand factors influencing exchange rates.	Students should consider the significance of relative interest rates; relative inflation rates; speculation.
Changes in exchange rates	Consider the impact of changes in exchange rates.	For example the implications for competitiveness.
Monetary union	Understand benefits and costs of monetary unions.	For example: the effects on the rate of inflation; unemployment; the Balance of Payments and economic growth. Students could focus on the eurozone. Specific knowledge of other monetary unions (single currencies) is not required.

4.3.4 How does a country compete?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Measures of competitiveness	Consider measures of competitiveness.	For example: relative unit labour costs and relative export prices.
Factors influencing competitiveness	Consider factors influencing a country's competitiveness.	For example: exchange rate; productivity; wage and non-wage costs; regulation.
Government policy	Examine government policy to increase international competitiveness.	For example: measures to improve education and training; incentives for investment; deregulation. Students might examine case studies of particular industries to see how they compete for example: cars; textiles.

4.3.5 What is poverty and inequality in developed and developing countries?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Absolute and relative poverty	Consider absolute and relative poverty.	An ability to understand/sketch a Lorenz curve diagram and Gini coefficients is required.
Measurements of inequality	Identify measurements of inequality: the Lorenz curve; Gini coefficient.	Students should consider the causes and consequences of inequality and poverty in developed and developing countries and related issues, for example the extent to which inequality is an essential ingredient of capitalism.

4.3.6 What are the limits to growth and development in developed and developing countries?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Limits to growth and development	Consider factors such as: ■ poor infrastructure ■ human capital inadequacies ■ primary product dependency ■ savings gap; inadequate capital accumulation ■ foreign currency gap ■ capital flight ■ corruption ■ population issues ■ debt ■ poor governance; civil wars.	Students will not be expected to know specific numerical information for countries. Students should be aware of the problems associated with declining terms of trade. Students would benefit from using case studies as a means of illustrating the constraints facing different economies and reasons for their different growth rates. For example, they could study one country from each of the following continents: Africa, Asia, South America, North America and Europe. Specific knowledge of individual countries will not be required.

4.3.7 What is the role of the state in promoting growth and development?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Macro economic policies	Evaluate the use of policies to achieve economic objectives including macroeconomic stability. For example, how fiscal policy is used to achieve budgetary objectives; the role of independent central banks to achieve inflation targets; the use of supply-side policies to achieve economic growth.	Students should have an understanding of global factors influencing a country's inflation rate; for example the impact of low wages in developing countries or the impact of a rise in commodity prices. The AD/AS model introduced in Unit 2 should be applied in analysing and evaluating these policies. The distinction between short and long run aggregate supply curves should be considered, as well as the factors influencing each. Students should be aware of the problems facing policy makers when applying policies, for example inaccurate information; risks and uncertainties.
Public expenditure	Give reasons for the changing size and pattern of public expenditure in different countries. Examine how the state might tax revenues to improve human capital.	Students should understand the significance of differences in tax structures; public expenditure and public finances between countries. For example, students might examine the significance of the differences of the size of the state sector between a developed economy such as the UK and a developing economy such as Malaysia.

Content	Students should be able to:	Additional guidance notes
Taxation	Understand taxation: direct and indirect; progressive, proportional and regressive taxes. Understand how governments might use public expenditure and taxation to reduce poverty.	Students should understand the possible link between changes in tax rates and tax revenues.
Public sector borrowing and Public sector debt	Understand the significance of the size of public sector borrowing and debt.	Students should understand the significance of differences in the state of public finances between countries, for example with respect to attractiveness to foreign direct investment and incentives.

4.3.8 What other measures can be used to promote growth and development?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Ways of promoting growth and development	Consider factors such as: ■ aid ■ debt relief ■ development of human capital ■ inward looking/outward looking strategies ■ free market/government intervention approaches ■ industrialisation; development of tourism; agriculture ■ microfinance ■ fair trade schemes ■ role of international financial institutions and non-government organisations in promoting growth and development.	Students should investigate the benefits and disadvantages associated with each of the listed strategies. In addition, the strategy should be considered in relation to some theoretical framework, for example market orientated approaches; structural change theories; international dependence theories. With reference to a particular economy, students might consider which theory might be most appropriate. Students could examine the use of microfinance and fair trade schemes as they affect particular countries. The functions of some of the key institutions should be considered and evaluated.

D Assessment and additional information

Assessment information

Assessment requirements	For a summary of assessment requirements and assessment objectives, see <i>Section B, Specification overview</i> .
Entering candidates for this qualification	Details of how to enter candidates for the examinations for this qualification can be found in Edexcel's Information Manual, copies of which are sent to all examination officers. The information can also be found on Edexcel's website: www.edexcel.org.uk .
Resitting of units	There is no restriction on the number of times a unit can be attempted prior to claiming certification for the qualification. The best available result for each contributing unit will count towards the final grade. Results of units will be held in Edexcel's unit bank for as many years as this specification remains available. Once the Advanced Subsidiary (AS) or Advanced Level qualification has been certificated, all unit results are deemed to be used up at that level. These results cannot be used again towards a further award of the same qualification at the same level but unit results used for an AS award remain available for use in an Advanced GCE Level award.
Awarding and reporting	The grading, awarding and certification of this qualification will comply with the requirements of the current GCSE/GCE Code of Practice for courses starting in September 2008, which is published by the Qualifications and Curriculum Authority. The AS qualification will be graded and certificated on a five-grade scale from A to E. The full GCE Advanced level will be graded on a six-point scale A* to E. Individual unit results will be reported. A pass in an Advanced Subsidiary subject is indicated by one of the five grades A, B, C, D, E of which Grade A is the highest and Grade E the lowest. A pass in an Advanced GCE subject is indicated by one of the six grades A*, A, B, C, D, E of which Grade A* is the highest and Grade E the lowest. To be awarded an A* students will need to achieve an A on the full GCE Advanced level qualification and an A* aggregate of the A2 units. Students whose level of achievement is below the minimum judged by Edexcel to be of sufficient standard to be recorded on a certificate will receive an unclassified U result.
Performance descriptions	Performance descriptions give the minimum acceptable level for a grade. See <i>Appendix 1</i> for the performance descriptions for this subject.